

MCD Investment Memo

McDonald's Corporation (NYSE: MCD) | 2026-07-02

The Business in 30 Seconds

McDonald's is the world's largest quick-service restaurant franchisor — 45,356 restaurants across 100+ countries, ~95% franchised, earning stable rent-and-royalty revenue from franchisees operating under 20-year contracts, with McDonald's retaining control of the underlying real estate as its core structural lever [MCD_10K_FY2025.htm, Business Summary / Franchise Arrangements].

What's Going Right

Franchise model produces exceptional, stable margins. Consolidated operating margin rose from 45.7% (FY2023) to 46.1% (FY2025) [MCD_10K_FY2025.htm, MD&A], driven by a largely fixed-fee rent/royalty revenue base that is far less volatile than a typical restaurant operator's cost structure.

50 consecutive years of dividend increases. [MCD_10K_FY2025.htm, MD&A]: "The Company has paid dividends on its common stock for 50 consecutive years and has increased the dividend amount every year," with the FY2025 quarterly dividend rising 5% to \$1.86/share (\$7.44 annualized).

Real estate and contract lock-in provide genuine switching-cost protection. MCD owns ~56% of land and ~80% of buildings in consolidated markets, with \$31,451M of contracted future minimum rents receivable from existing franchise agreements [MCD_10K_FY2025.htm, Restaurant Development and Capital Expenditures / Franchise Arrangements].

Q1 2026 results beat consensus. (Note: from external source) Revenue of \$6.52B (+9% YoY) and EPS of \$2.83 both topped estimates, with global comparable sales of +3.8% broad-based across all three segments.

Valuation discount to healthy peers and sell-side targets. Trailing P/E of ~22-23x sits below Yum! Brands, Starbucks, and Chipotle (Note: from external source); average analyst price target of \$329-354 implies ~22%+ upside from the current ~\$270 price.

What Could Go Wrong

After-tax ROIC has declined for two consecutive years — 25.2% (FY2023) → 21.8% (FY2024) → 20.3% (FY2025) [MCD_10K_FY2025.htm] — even as capital expenditures rose 43% over the same period, indicating incremental capital is generating lower returns than the legacy asset base.

Reported consumer-traffic softness, particularly among lower-income households. (Note: from external source, PYMNTS) CEO Chris Kempczinski has stated consumer sentiment "certainly not improving, and it may be getting a little bit worse," with low-income traffic reportedly down double digits — not quantified in MCD's own 10-K.

Buyback execution slowed sharply in FY2025 — 6.7 million shares repurchased for \$2.0 billion, down from 11.1 million shares/\$3.1 billion in FY2023 — despite a new \$15.0 billion authorization approved in November 2024 [MCD_10K_FY2025.htm].

Negative shareholders' equity. Total shareholders' equity (deficit) was \$(1,791)M at FY2025 year-end [MCD_10K_FY2025.htm, Consolidated Balance Sheet] — narrowing from prior years but still negative, meaning enterprise value rests entirely on future cash-flow confidence rather than a tangible net-asset floor.

Management has guided to a "meaningful deceleration" in Q2 2026 comparable sales (Note: from external source), a specific near-term catalyst (reporting July 29, 2026) that could confirm or dispel the demand-softness narrative.

Significant 1-year stock underperformance. (Note: from external source) MCD's 1-year total return is approximately -10% versus the S&P 500's approximately +30% — a roughly 40-percentage-point gap.

The Numbers That Matter

Metric	FY2025	FY2024	FY2023
Total Revenue (\$M)	26,885	25,920	25,494
Operating Income (\$M)	12,393	11,712	11,647
Operating Margin	46.1%	45.2%	45.7%
Net Income (\$M)	8,563	8,223	8,469
Diluted EPS	\$11.95	\$11.39	\$11.56
FCF (calculated, \$M)	7,186	6,672	7,255
Total Debt (\$M)	39,973	38,424	39,345

Metric	FY2025	FY2024	FY2023
Total Shareholders' Equity (deficit, \$M)	(1,791)	(3,797)	(4,707)
Diluted Shares (M)	716.4	721.9	732.3
Restaurants	45,356	43,477	41,822
After-tax ROIC	20.3%	21.8%	25.2%

Source: [MCD_10K_FY2025.htm], Consolidated Financial Statements and MD&A.

Valuation

Multiple	Value	Context
Trailing P/E	22.2-23.5	(external — range across data providers)
Forward P/E	20.4-21.5	(external)
EV/EBITDA	16.5-17.2	(external)
Dividend Yield	2.72-2.76%	(external)

Scenarios (see [[Valuation Check]] for full assumptions):

Scenario	Fair Value	Return
Bull	~\$310.50	+15%
Base	~\$270.00	Flat
Bear	~\$207.00	-23%

Moat Assessment

Source	Rating
Switching costs	Strong
Network effects	Absent
Cost advantages	Strong
Intangible assets	Strong

Source	Rating
Efficient scale	Moderate
Trajectory	Stable

Decision

Current stance: Monitor

MCD offers one of the strongest structural moats in this research vault — a franchise system built on 20-year contracts and real estate control that few QSR competitors can replicate, backed by a 50-year unbroken dividend-growth record. The stock's discount to peers and to sell-side price targets is real, but it is not obviously a pure sentiment mispricing: two consecutive years of declining ROIC, a sharp FY2025 buyback slowdown despite a fresh \$15bn authorization, and reported (if not company-quantified) softness among lower-income consumers all point toward the same conclusion — the market is pricing in real near-term demand and capital-efficiency concerns, not just overreacting to noise. The July 29, 2026 Q2 earnings release, following management's own guidance for a "meaningful deceleration," is a well-defined near-term catalyst that should materially clarify whether this is a temporary comparison effect or the start of a deeper slowdown. Until then, this is a wait-for-confirmation situation on an otherwise high-quality, moat-protected business.

Key triggers to watch: - Q2 2026 earnings (July 29, 2026) — does comparable-sales growth stabilize or deteriorate further? - Any reversal in the two-year after-tax ROIC decline - Return to a faster buyback pace, signaling management confidence in the current price - Confirmation (or dispelling) of the low-income consumer traffic narrative in company disclosure, not just external reporting

Key risks to monitor: - Structural (not cyclical) shift away from traditional QSR spending among value-conscious consumers - Continued capital misallocation if rising capex fails to restore ROIC - Franchisee financial stress cascading into the contracted \$31.5bn future rent stream - Active litigation (E. coli outbreak claims, discrimination lawsuit set for September 2026 trial, per external sources) creating headline or reputational risk beyond the amounts currently reflected in the filings

Sources: MCD Form 10-K filings (FY2023-FY2025, filed with the SEC February 2024/2025/2026), MCD Q1 2026 earnings release (May 7, 2026, external source), external market data (stockanalysis.com, Yahoo Finance, gurufocus.com, CNBC, PYMNTS, Axios). All financial metrics cited from filings unless explicitly flagged as external data.